Olist Marketplace Performance Business Insights Report

SQL + Power BI Analysis

Prepared by Harsiman Kaur Dua
24 July 2026

Executive Summary

The analysis of Olist's Brazilian e-commerce marketplace shows a business with strong overall transaction activity, but with meaningful concentration in a small group of sellers and product categories. The most important management opportunity is not simply acquiring more sellers; it is improving the performance of existing sellers, protecting high-value contributors, and directing growth efforts toward the categories and acquisition channels that already demonstrate stronger results.

The marketplace generated R$13.59M in revenue across 96,478 delivered orders and 3,095 sellers. Delivery performance was strong, with 93.23% of delivered orders arriving on time. However, seller revenue is concentrated: the top 5% of sellers generated 53.3% of marketplace revenue, while only 40 high-value sellers represented 1.3% of sellers but contributed 29.54% of revenue.

On the acquisition side, 8,000 leads resulted in 842 closed deals, giving an overall conversion rate of 10.53%. Organic Search generated the largest number of leads, while Paid Search recorded the highest conversion rate among the major channels shown. Acquisition also peaked at 207 sellers in April 2018 before declining sharply.

1. Marketplace Performance at a Glance

KPI	Result	Management Meaning
Marketplace revenue	R$13.59M	Strong overall transaction value
Delivered orders	96,478	High order activity
Total sellers	3,095	Broad seller base
Overall AOV	R$137.75	Baseline transaction value
On-time delivery rate	93.23%	Delivery reliability is a relative strength
Total leads	8,000	Large seller acquisition funnel
Closed deals	842	10.53% of leads converted
Overall conversion rate	10.53%	Clear scope to improve acquisition efficiency

2. Seller Performance and Concentration

Revenue concentration

Seller revenue is highly concentrated. The top 5% of sellers generate 53.3% of total marketplace revenue. This means a relatively small group of sellers has a disproportionate impact on marketplace performance.

The seller segmentation view reinforces this pattern. There are 40 high-value sellers, representing only 1.3% of the 3,095 sellers, but they contribute 29.54% of revenue. Their average order value is R$166, compared with R$143 for medium sellers and R$113 for long-tail sellers.

Seller segment	Seller count	Average order value	Key observation
High value (> R$50K)	40	R$166	1.3% of sellers; 29.54% of revenue
Medium (R$10K–R$50K)	252	R$143	Smaller base with meaningful growth potential
Long tail (< R$10K)	2,803	R$113	Largest seller group but lower AOV

Seller activation

The seller health analysis identifies a major activation opportunity. Among the sellers represented in the activation analysis, 790 are classified as 'Low Activity (No Declaration)'. A further 23 are classified as 'Inactive High Potential', while only 7 are classified as 'Active Sellers (No Declaration)'.

The 23 inactive high-potential sellers are particularly important because their declared monthly revenue is at least R$50,000 but their observed Olist revenue is less than 25% of the declared amount. These sellers should be treated as a targeted recovery opportunity rather than as ordinary low-activity sellers.

Recommended seller actions

- Create a dedicated retention programme for the 40 high-value sellers, including account reviews, performance monitoring and early-warning alerts.
- Prioritize the 23 inactive high-potential sellers for direct account-manager intervention and onboarding or listing support.
- Run activation campaigns for the 790 low-activity sellers with no declared revenue, focusing on catalogue readiness, pricing, visibility and first-order generation.
- Use the medium-seller segment as a growth pipeline by identifying sellers whose AOV and order activity are moving toward high-value levels.
- Monitor seller concentration regularly so that revenue growth does not become overly dependent on a small number of sellers.

3. Product Category Performance

Category revenue is also concentrated. Olist has 74 product categories, but only 17 categories generate approximately 80% of marketplace revenue. In other words, around 23% of categories account for the majority of business revenue. The following are the top 7 revenue-generating categories. They form part of the 17 categories that collectively account for approximately 80% of marketplace revenue.

Category	Revenue	Revenue Share
Health & Beauty	R$1.26M	9.26%
Watches & Gifts	R$1.21M	8.90%
Bed, Bath & Table	R$1.04M	7.65%
Sports & Leisure	R$0.99M	7.28%
Computer Accessories	R$0.91M	6.69%
Furniture & Décor	R$0.73M	5.37%
Cool Products	R$0.64M	4.71%

Health & Beauty is the leading revenue category at R$1.26M and represents 9.26% of category revenue. The next strongest categories are Watches & Gifts at R$1.21M and Bed, Bath & Table at R$1.04M.

Recommended category actions

- Protect availability and seller quality in the 17 categories responsible for approximately 80% of revenue.
- Prioritize seller acquisition in high-performing categories where additional supply can support continued growth.
- Use category-level revenue and order volume together when deciding where to invest rather than relying on revenue alone.
- Review the long tail of categories for selective expansion, but avoid spreading seller-acquisition resources evenly across all 74 categories.

4. Delivery Performance

Delivery performance is a relative strength of the marketplace. The dashboard reports an on-time delivery rate of 93.23% across delivered orders. This indicates that most customers received orders within the estimated delivery date.

The management priority should therefore be to preserve this level of reliability while identifying the categories and operational areas responsible for the remaining late deliveries. Delivery reliability should be monitored alongside category performance because repeated delays in high-revenue categories can have a larger commercial impact.

Recommended delivery actions

- Track late-delivery percentage by product category and monitor high-revenue categories separately.
- Investigate recurring late-delivery categories for seller processing, logistics or fulfilment issues.
- Use the 93.23% on-time rate as a baseline KPI and set an internal improvement target above the current level.

5. Seller Acquisition and Marketing Performance

The acquisition funnel contains 8,000 leads and 842 closed deals, producing an overall conversion rate of 10.53%. The dashboard shows clear differences between acquisition channels, suggesting that Olist should allocate acquisition resources according to both lead volume and conversion quality.

Lead source	Lead volume / position	Conversion rate
Organic Search	2,296 leads; largest source	11.80%
Paid Search	Major source	12.30%
Social	Major source	5.56%
Unknown	Major source	16.65%
Direct Traffic	Major source	11.22%
Email	Smaller source	3.04%
Referral	Smaller source	8.45%
Other	Smaller source	2.61%
Display	Smaller source	5.08%
Other Publications	Smaller source	4.62%

Unknown has the highest conversion rate at 16.65%, but this cannot be treated as a directly actionable acquisition channel because the actual source is not identified. Among identifiable major channels, Paid

Search has the highest conversion rate among the clearly identified major acquisition channels at 12.30%, followed by Organic Search at 11.80% and Direct Traffic at 11.22%. Organic Search is especially important because it combines a high conversion rate with the largest lead volume.

The high conversion rate associated with Unknown also highlights a data-quality opportunity: improving lead-source tracking could reveal an important acquisition channel that is currently being classified as Unknown.

Acquisition trend

Seller onboarding increased through early 2018 and peaked at 207 acquired sellers in April 2018. It then fell to 122 in May, 57 in June, 37 in July, and continued declining to 6 by November 2018. This decline warrants investigation because it may indicate changes in marketing efficiency, market conditions, acquisition strategy or the available seller pool.

Recommended acquisition actions

- Continue investing in Organic Search because it is the largest lead source while maintaining an 11.80% conversion rate.
- Review Paid Search campaigns for scalable acquisition because its 12.30% conversion rate is the strongest among the major identified channels.
- Review Social, Email and Display campaigns for cost-effectiveness before increasing spend, given their lower conversion rates shown in the dashboard.
- Investigate the sharp post-April 2018 decline in seller onboarding and identify the specific point at which acquisition performance deteriorated.
- Improve lead-source tracking so that the 'Unknown' category can be reduced and marketing performance can be attributed more accurately.

6. What Management Should Prioritize

The dashboard points to three linked priorities: protect the revenue base, activate underperforming sellers, and improve acquisition efficiency.

Priority	Why it matters	Immediate action
Protect high-value sellers	40 sellers generate 29.54% of revenue	Dedicated retention and performance monitoring
Activate existing sellers	790 sellers are low activity with no declaration	Targeted activation and seller support
Recover high-potential sellers	23 sellers show high declared potential but low observed revenue	Direct intervention and onboarding review
Focus category investment	17 of 74 categories generate ~80% of revenue	Prioritize supply and category growth
Improve acquisition efficiency	Overall conversion is 10.53%	Scale stronger channels and review weaker ones
Investigate onboarding decline	Acquisition peaked at 207 in Apr 2018 and then fell sharply	Identify cause and rebuild acquisition pipeline
Protect delivery reliability	93.23% on-time delivery	Maintain and improve late-delivery performance

7. Recommended Management KPI Tracking

The following KPIs should be reviewed regularly so that the business can move from one-time analysis to ongoing performance management:

- Marketplace revenue and delivered order volume
- Overall average order value
- Revenue share of the top 5% of sellers
- Revenue contribution and retention of high-value sellers
- Number and revenue contribution of inactive/high-potential sellers
- Revenue concentration across product categories
- On-time delivery rate and late-delivery rate by category
- Lead volume, closed deals and conversion rate by acquisition channel
- Seller onboarding trend by month
- Share of leads with an identified acquisition source

Conclusion

Olist's marketplace demonstrates strong transaction activity and a high level of delivery reliability, but the analysis shows that future growth should be managed carefully. Revenue is concentrated among a small number of sellers and categories, making retention and category focus critical. At the same time, the large number of low-activity sellers represents an opportunity to generate more value from the existing seller base before relying solely on new seller acquisition.

The most practical management approach is therefore to protect the high-value revenue base, reactivate underperforming sellers, concentrate category and seller-growth efforts where demand is already proven, and improve marketing allocation using channel-level conversion data. These actions can improve marketplace revenue quality while reducing dependence on a small number of contributors.

Note: All monetary values in this report are presented in Brazilian Real (BRL/ R$), the currency used for the Brazilian Olist marketplace data.